To be sure, the crisis has brought into sharp relief the internal tensions which the American state faces between acting as both the state of the United States and as the 'indispensable' state of global capitalism. Frictions with Congress are nothing new, of course. After the baptism of fire Robert Rubin went through as soon as he became Treasury secretary during the Mexican peso crisis at the beginning of 1995, with Congress (even under a Democratic majority) initially refusing the bailout the Treasury had orchestrated, Rubin said he understood Congressional resistance as 'meant to oppose us without actually stopping us'.[10] This was again confirmed as the bitter confrontations between Congress and the Obama Administration unfolded to yield Washington's 'debt ceiling' sagas from 2011 to 2013. Notably, the appetite for Treasury bonds, far from abating, greatly increased during the course of this crisis – not least from China, which only hastened to remind American political leaders that 'political brinkmanship in Washington is dangerously irresponsible' given the US's unique responsibilities for 'the world's economic soundness'.[11]

There were, of course, widespread expectations that the 'exorbitant privilege' of the dollar would be undermined in the course of this crisis. Brazil, Russia, India and China were not so naïve as to imagine the G20 would be the venue for overseeing the demise of the dollar, and also held their own first summit meeting in Yekaterinburg in 2008. Joined by South Africa in 2010 (and thereby completing the acronym of the BRICS), they soon began hatching plans for their own international bank, autonomous from the US and the Washington-based financial institutions. These plans were reinforced when the US Congress refused to endorse the larger vote for the BRICS in the IMF and World Bank, agreed at G20 meetings, and the formation of their new bank was finally announced at the BRICS meeting in Fortaleza, Brazil, in July 2014.

For Joseph Stiglitz, the Nobel-prize winning ex-chief economist of the World Bank, the announcement of the new bank signalled a clear challenge to the US-led world order, reflecting 'a fundamental change in global economic and political power'.[12] Fidel Castro associated it with his own country's resistance to 'the most powerful empire ever to exist', and expressed his confidence that the BRICS leaders' promotion of 'cooperation and solidarity with the peoples ... in the achievement of sustainable development, and the eradication of poverty', would culminate in 'one of the greatest feats of human history'.[13]

A more sober assessment is called for. The alacrity with which the World Bank has welcomed the BRICS New Development Bank relates to the fact that its goals look not very different from the resource-depleting, export-oriented economic strategies that have heretofore governed the participation of 'emerging markets' in